

Electricity Theft Control Act, 2002

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Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.1.7
2. Some Nepal Acts Amendment Act, 2072 (2015) 2072.11.13

Act No. 13 of the Year 2058 (2001)

An Act Made to Provide for the Control of Electricity Theft

Preamble: Whereas it is desirable to make necessary legal provisions relating to the control of electricity theft,

Be it enacted by Parliament in the first year of the reign of His Majesty King Gyanendra Bir Bikram Shah Dev.
Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Electricity Theft Control Act, 2058 (2001)."
- (2) This Act shall come into force immediately.
2. Definitions: Unless the subject or context otherwise requires, in this Act,
 - (a) "Electricity" means electrical power generated from water, mineral oil, coal, gas, solar power, wind power, nuclear power or any other source.
 - (b) "Distributor" means the electricity seller-distributor pursuant to Section 3.
 - (c) "Customer" means a person or entity whose name is registered in the list of customers consuming electricity services sold and distributed by the distributor, and said term also includes, in the case of any institution or office, the head of such institution or office, and, in the case where the registered customer is deceased, the heir entitled under the prevailing law of such registered customer.
 - (d) "Consumer" means a person or entity consuming electricity services sold and distributed by the distributor.
 - (e) "House" or "Building" means a residential or non-residential house or building, and said term also includes the house, building, or shed where an institution, office, shop, warehouse, factory, etc., are located, as well as the compound of such house, building, or shed.
 - (f) "Offence" means the offence relating to electricity theft pursuant to Section 7.

(g) "Offender" means a person involved in an offence relating to electricity theft pursuant to Section 7, and said term also includes an employee of the distributor involved in said offence.

(h) "Energy Metering Device" means an energy metering device installed at the customer's house or building on behalf of the distributor for calculating the unit of electricity quantity consumed by the consumer, and other related equipment.

(i) "Institution" means an institution established under the prevailing law.

(j) "Investigation Officer" means the investigation officer appointed pursuant to sub-section (1) of Section 12.

(k) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act.

Chapter-2

Provisions Relating to Electricity Distributor and Electricity Theft

3.

Electricity Distributor: For the electricity as mentioned below, the person or entity as mentioned below shall be deemed to be the electricity distributor: (a) In the case of electricity sold and distributed, with or without the use of the national grid, by a person who has obtained a license to generate and sell-distribute electricity pursuant to Section 4 of the Electricity Act, 2049 (1992), the person who has obtained such license. (b) In the case of electricity purchased by the Government of Nepal and included in the national grid and sold and distributed pursuant to Section 21 of the Electricity Act, 2049 (1992), the Government of Nepal, and in the case of electricity purchased and sold and distributed through any other entity, the entity that so purchased. (c) In the case of electricity imported and sold and distributed within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). pursuant to sub-section (1) of Section 22 of the Electricity Act, 2049 (1992), the concerned importer. (d) In the case of electricity generated, developed, sold, and distributed by the Government of Nepal itself pursuant to Section 34 of the Electricity Act, 2049 (1992), the Government of Nepal. (e) In the case of electricity sold and distributed by a person or entity that has entered into a contract with the Government of Nepal relating to electricity sale and distribution pursuant to Section 35 of the Electricity Act, 2049 (1992), the person or entity so contracting. (f) In the case of electricity obtained at one point by billing from one point using the distribution system of one distributor and sold and distributed at another point, the person or entity so receiving electricity at the latter point. 4. Duty of Distributor: It shall be the duty of the distributor institution and its employees to act keeping the interests of its consumers paramount. Other provisions relating thereto shall be as prescribed, and if the rights of consumers are violated, compensation as prescribed shall be provided. 5. Code of Conduct: After the commencement of this Act, a code of conduct shall be prepared and implemented in respect of the distributor institution and its employees. A violator thereof shall be liable to punishment equivalent to a criminal offense, and other provisions relating to this shall be as prescribed. 6. Not to Commit Theft of Electricity: No person shall commit, cause to commit, or assist anyone in committing theft of electricity. 7.

Deemed to Have Committed an Offence: (1) If any person commits any of the following acts, he shall be deemed to have committed an offence of electricity theft: (a) Drawing or connecting an electricity line directly or indirectly from another line of electricity, other than through an energy metering device. (b) Drawing or connecting an electricity line from an electricity line for street lights or other purposes without the consent of the distributor. (c) Adopting a technology other than the technology determined for supplying electricity to a house or building through an energy metering device. (d) Reversing the polarity of one energy metering device and taking a phase line from it and a neutral line from another energy metering device or earth. (e)

Inserting any substance into an energy metering device or obstructing the normal rotation of the disc of the energy metering device by any other means. (f) Opening the terminal link. (g) Breaking, destroying, damaging, or using fake terminal or test seals affixed to the energy metering device on behalf of the distributor. (h) Breaking, destroying, damaging, or otherwise causing damage to the energy metering device, or rendering it incapable of normal operation. (i) The box containing the energy metering device having no seal, or having a seal but not bearing the stamp of the distributor, or bearing a seal of someone other than the distributor, or such seal being damaged. (j) The seal of the C.T. or P.T. or both being damaged, the polarity being reversed or different, or the connection being disconnected. (k) Adopting any other method of stealing electric power other than the circumstances mentioned in clauses (a) to (j). (2) Notwithstanding anything contained in sub-section (1), if during the course of investigation and inquiry into the offence, upon technical examination it appears that the energy metering device was damaged due to some technical reason or accident not caused by the customer or consumer, it shall not be deemed to be an offence. 8.

Liability for Offence to Vest: (1) The liability for an offence under Section 7 shall vest in the person involved in the act relating to such offence, the concerned customer, and the person who assisted in committing such offence. (2) Notwithstanding anything contained in sub-section (1), the liability for an offence occurring in a house or building as mentioned below shall vest in the person as mentioned below: (a) In the case of an offence occurring in a house or building used by an institution or office, the head of the concerned institution or office. (b) In the case of an offence occurring in a house or building consumed on rent or by any other means, the head of the institution or office using such house or building, and if a person or family has consumed such house or building, then the main person of such person or family or the house owner. (c) In the case of an offence occurring in a house or building used jointly for residence or collectively resided in by more than one institution, office, person, or family, the head of the institution or office, or the main person of the person or family, or the house owner among those consuming such house or building who is involved in the offence. (d) In the case of an offence occurring in a house or building which the owner has already transferred by sale or any other reason, the head of the institution or office, or the main person of the person or family among those consuming such house or building who is involved in the offence. Provided that, the burden of proving that the owner has given the house or building on rent shall lie on the owner of such house or building. Otherwise, the liability for the offence occurring in such house or building shall vest in the owner of the house or building. 9. Electricity Line May Be Disconnected: The electricity line may be disconnected in the following circumstances: (a) If the electricity tariff is not paid within the stipulated time. (b) If an offence under Section 7 is found to have been committed. 10. Special Provisions May Be Applied in Areas Highly Affected by Electricity Theft: In respect of any area within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009). that is highly affected by electricity theft, a contract or "cut-out system" may be implemented, by publishing a notice in the Nepal Gazette, to allow only a prescribed quantity of electricity to flow. 11.

Offender to Pay Loss or Damage and Compensation Amount: (1) If any person causes loss or damage by committing an offence under Section 7, the offender shall pay the amount thereof and an equal amount as compensation. The electricity line shall not be connected until such payable amount and compensation are paid. (2) If a person who has paid and satisfied the loss or damage and compensation once under sub-section (1) again commits the same offence, the offender shall, each time, pay and satisfy to the distributor the amount of loss or damage actually caused to the distributor and two hundred percent of such amount as compensation. (3) The method and procedure for assessing the loss or damage actually caused to the distributor under sub-sections (1) and (2) shall be as prescribed. Chapter-3 Investigation and Inquiry 12. Investigation Officer: (1) The distributor shall appoint an investigation officer to investigate and inquire into

offences under this Act. (2) The duties, functions, and powers of the investigation officer under sub-section (1) shall be as follows: (a) Upon receiving information from anyone regarding an offence being committed or about to be committed, or even in the absence of such information, if there is reasonable cause to suspect that an offence is about to be committed, the investigation officer may go to such place, conduct necessary technical examination, and if an offence is found to have been committed or done, immediately disconnect the line, take possession of the goods related to the offence, issue a receipt thereof, and interrogate the offender and prepare a site inspection report. (b) To investigate and inquire into the offence and assess the actual loss or damage caused by the offender to the distributor. (3) It shall be the duty of the local administration, Amended by Some Nepal Acts Amendment Act, 2072 (2015). officials of the local level, police, and all concerned to provide assistance to the investigation officer in the course of investigation and inquiry into the offence. (4) The investigation officer may impose a fine of up to two thousand rupees on a person who obstructs or opposes the investigation and inquiry into the offence. 13. May Apply for Review: (1) If any person or entity is dissatisfied with the action, assessment, or punishment made by the investigation officer pursuant to sub-sections (2) and (4) of Section 12, such person or entity may apply to the concerned distributor for review of such action, assessment, or punishment. (2) If an application is made under sub-section (1), the distributor shall review it. (3) The procedure for review under sub-section (2) shall be as prescribed. 14.

Notice to Pay Loss or Damage and Compensation: If no application for review is made under Section 13 in respect of the assessment made pursuant to clause (b) of sub-section (2) of Section 12, the concerned person or entity shall be given notice as prescribed to pay and satisfy the actual loss or damage and the compensation amount thereof as assessed, and if an application for review is made, the actual loss or damage and compensation amount determined upon review, within thirty-five days. 15. Filing of Case: (1) If the offender pays and satisfies the amount within the period of the notice given under Section 14, the amount shall be accepted and the proceedings against him shall be concluded and filed. If the amount is not paid, the investigation officer shall file a case in the concerned District Court within thirty days from the date of expiry of such period. (2) For the purpose of filing a case under sub-section (1), the investigation officer shall act pursuant to Section 31 of the Government Cases Act, 2049 (1992). (3) While conducting proceedings and deciding a case filed under sub-section (1), the District Court shall, in matters provided for in this Act, follow the provisions of this Act, and in respect of other matters, follow the procedure under the Summary Procedure Act, 2028 (1971). Chapter-4 Miscellaneous 16. Penalty: (1) Upon proceedings and decision of the case by the court, if the offence is proved, the offender shall be ordered to pay to the distributor the actual loss or damage caused to the distributor as the principal amount and compensation at the rate of the principal amount, and the offender shall also be liable to a fine of up to five thousand rupees, or imprisonment for up to three months depending on the gravity of the offence, or both. (2) If a person who has been proved to have committed an offence once is again proved to have committed the same offence, the offender shall be ordered, each time, to pay to the distributor the actual loss or damage caused to the distributor as the principal amount and two hundred percent of the principal amount as compensation, and such offender shall also be liable to a fine of up to ten thousand rupees, or imprisonment for up to six months, or both. 17. Government of Nepal to be Plaintiff: The Government of Nepal shall be the plaintiff in cases under this Act. 18. Reward: (1) After the final decision of the case, the distributor shall give to the person who provided information about the offence an amount as prescribed as a reward.

Provided that such reward shall not be given to the distributor, employees of the distributor, and their family members. (2) Other provisions relating to the reward to be given under sub-section (1) shall be as prescribed. 19. Protection of Act Done in Good Faith: An investigation officer or employee concerned with such work,

who, in the course of investigation and inquiry into an offence, does any act in good faith in the belief that it is for the performance of his duty, shall not be personally liable for such act. 20. Power to Make Rules: The Government of Nepal may make necessary Rules for the purpose of implementing the objectives of this Act. 21. Repeal and Saving: (1) In the Electricity Act, 2049 (1992)- (a) Sub-section (3) of Section 38 is repealed. (b) In Section 39, the words "sub-sections (1), (2), and (3) of Section 38" are substituted by the words "sub-sections (1) and (2) of Section 38." (2) Notwithstanding anything contained in this Act, nothing in this Act shall be deemed to hinder the exercise of the rights available to the distributor under the prevailing law relating to the control of unauthorized consumption of electricity.